

Here Comes Another Crash!

IN THE EARLY 1980s, markets were on a tear. Paul Volcker, then Chairman of the Federal Reserve, cranked Fed rates up to 11³³⁴ and broke the back of inflation. That set the stage for a 40-year bull market in bonds and a 20-year bull market in stocks. In 1982, stocks eclipsed their prior highs, set in 1966. They began climbing steadily upwards, and in 1986, they were *much* higher. By August 1987, they were even higher.

Then came the crash: On October 15, 1987, the US stock markets fell 22% *in a single trading session*. This was unprecedented, and it has never been seen again.

How likely is a replay of the '87 crash? It depends on who you ask. But even more importantly, it depends on *when* you ask.

This is due to the recency effect—our tendency to overemphasize the most recent data point in any series. We see this in monthly Non-Farm Payroll reports, quarterly earnings releases, and weekly new unemployment claims. These data series tend to be highly variable and noisy, but we always wildly overemphasize what just happened.

Like so much else in this book, you can blame evolution. We have evolved to survive in a hostile world and to react quickly to any existential threats. What might be a potential danger to us *right now*? The long term is meaningless if you become something else's dinner *tonight*.

A good financial plan requires knowing your tolerance for risk. The problem is that few of us know how much volatility we can withstand or what a large market drawdown will do to our psyche. We don't know our own risk tolerances.

Worse, we are deeply affected by whatever the stock market has done over the past six months. After the market has rallied hard upwards, people will